

CUSTOMER CHURN REDUCTION STRATEGY

Business Analysis Project

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Date:

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Customer Churn Reduction Strategy

1. Project Overview

Attribute	Details
Project Name	Customer Churn Reduction Strategy
Organization	AlphaCom Telecommunications
Business Domain	Telecommunications
Project Type	Business Analysis – Customer Retention Strategy
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Role	Business Analyst
Prepared Date	July 2026
Project Objective	Analyze customer churn, identify key business drivers, and recommend strategies to improve customer retention and reduce revenue loss.
Project Outcome	Delivered stakeholder analysis, process models, business requirements, Agile artifacts, RTM, UAT scenarios, interactive Tableau dashboards, and business recommendations to support data-driven customer retention.

2. Business Problem

AlphaCom is experiencing increasing customer churn, resulting in revenue loss and higher acquisition costs. The current retention process is reactive and does not identify high-risk customers before they discontinue services.

This project aims to identify the key business drivers of churn and recommend business solutions that improve customer retention and support proactive decision-making.

3. Business Objectives

- Reduce customer churn
-
- Improve customer retention
-
- Enable proactive retention decisions
-
- Provide actionable business insights
-
- Support data-driven decision-making

4. Project Scope

In Scope	Out of Scope
Analyze historical customer churn data	CRM system implementation
Identify high-risk customer segments	Billing system enhancements
Define business and functional requirements	Marketing campaign execution
Perform root cause analysis	Customer support application changes
Develop interactive Tableau dashboards	Production deployment of predictive models
Recommend customer retention strategies	Changes to existing business operations

5. Stakeholder Analysis

Key stakeholders were identified based on their involvement in project sponsorship, business decision-making, requirements validation, and solution implementation.

5.1 Stakeholder Register

Stakeholder	Role	Key Responsibility
CEO	Executive Sponsor	Provides strategic direction, project approval, and executive oversight.
Marketing Manager	Business Stakeholder	Defines customer retention strategies and business requirements.
Customer Service Manager	Business Stakeholder	Provides customer insights and validates retention initiatives.
Sales Manager	Business Stakeholder	Identifies opportunities to retain high-value customers and improve customer engagement.
Operations Manager	Business Stakeholder	Supports process improvements and operational implementation of business solutions.

5.2 Stakeholder Matrix

Stakeholder	Interest	Influence
CEO	High	High
Marketing Manager	High	High
Customer Service Manager	High	Medium
Sales Manager	Medium	Medium
Operations Manager	Medium	Medium

6. Assumptions & Constraints

6.1 Assumptions

ID	Assumption
A1	Customer data is complete and reliable.

A2	Historical churn data accurately represents customer behavior.
A3	Stakeholders are available for requirement validation.
A4	Business users have access to Tableau dashboards.

6.2 Constraints

ID	Constraint
C1	Historical customer data is limited.
C2	Project delivery is constrained by a fixed timeline.
C3	Real-time customer data is not available.
C4	Implementation budget is outside the project scope.

7. Current State Analysis (As-Is)

AlphaCom currently follows a reactive customer retention process, where retention efforts begin only after customers raise complaints or request service cancellation. The absence of a structured process to identify high-risk customers limits proactive decision-making and reduces retention effectiveness.

Key Challenges

- Reactive customer retention process
- Limited visibility into high-risk customers
- Inconsistent churn monitoring
- Limited data-driven decision-making

Business Impact

- Reduced recurring revenue
- Increased customer churn
- Higher customer acquisition costs
- Reduced customer lifetime value

Figure 1: As-Is Customer Churn Management Process

AS-IS CUSTOMER CHURN MANAGEMENT PROCESS

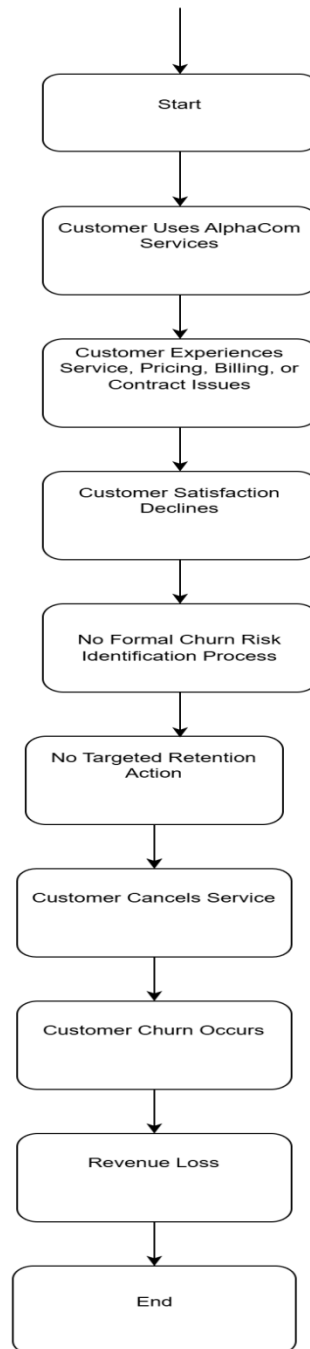


Figure 1: As-Is Customer Churn Management Process

8. Root Cause Analysis

Root cause analysis identified the primary business factors contributing to customer churn. These findings were used to define business requirements and recommend targeted customer retention strategies.

Root Cause Summary

Root Cause	Business Observation
Contract Type	Month-to-month customers have higher churn risk.
Customer Tenure	Short-tenure customers are more likely to churn.
Monthly Charges	Higher monthly charges increase churn risk.
Payment Method	Electronic check users have higher churn rates.
Customer Commitment	Lower commitment increases customer attrition.

Figure 2: Fishbone Diagram – Customer Churn Root Cause Analysis

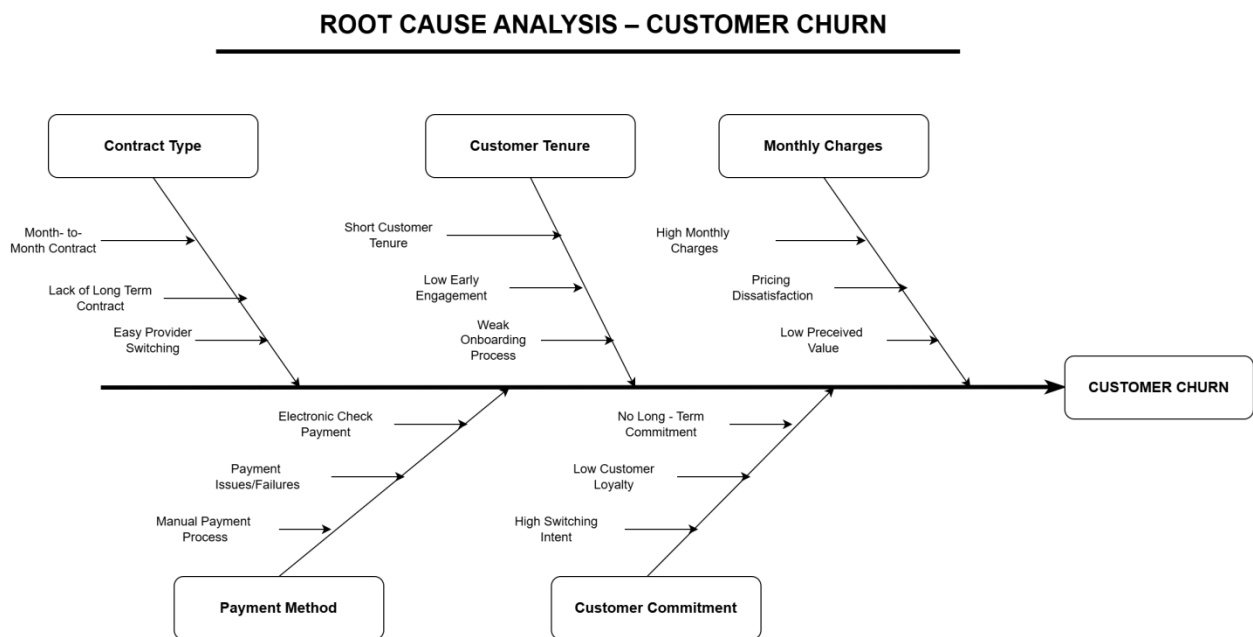


Figure 2: Fishbone Diagram – Root Cause Analysis of Customer Churn

9. Future State Analysis

The proposed solution introduces a proactive customer retention process that identifies high-risk customers before service cancellation, enabling timely interventions and data-driven business decisions.

Expected Business Benefits

- Proactive identification of high-risk customers
- Improved customer retention
- Reduced customer churn
- Better utilization of retention resources
- Improved business visibility

Figure 3: To-Be Customer Churn Management Process

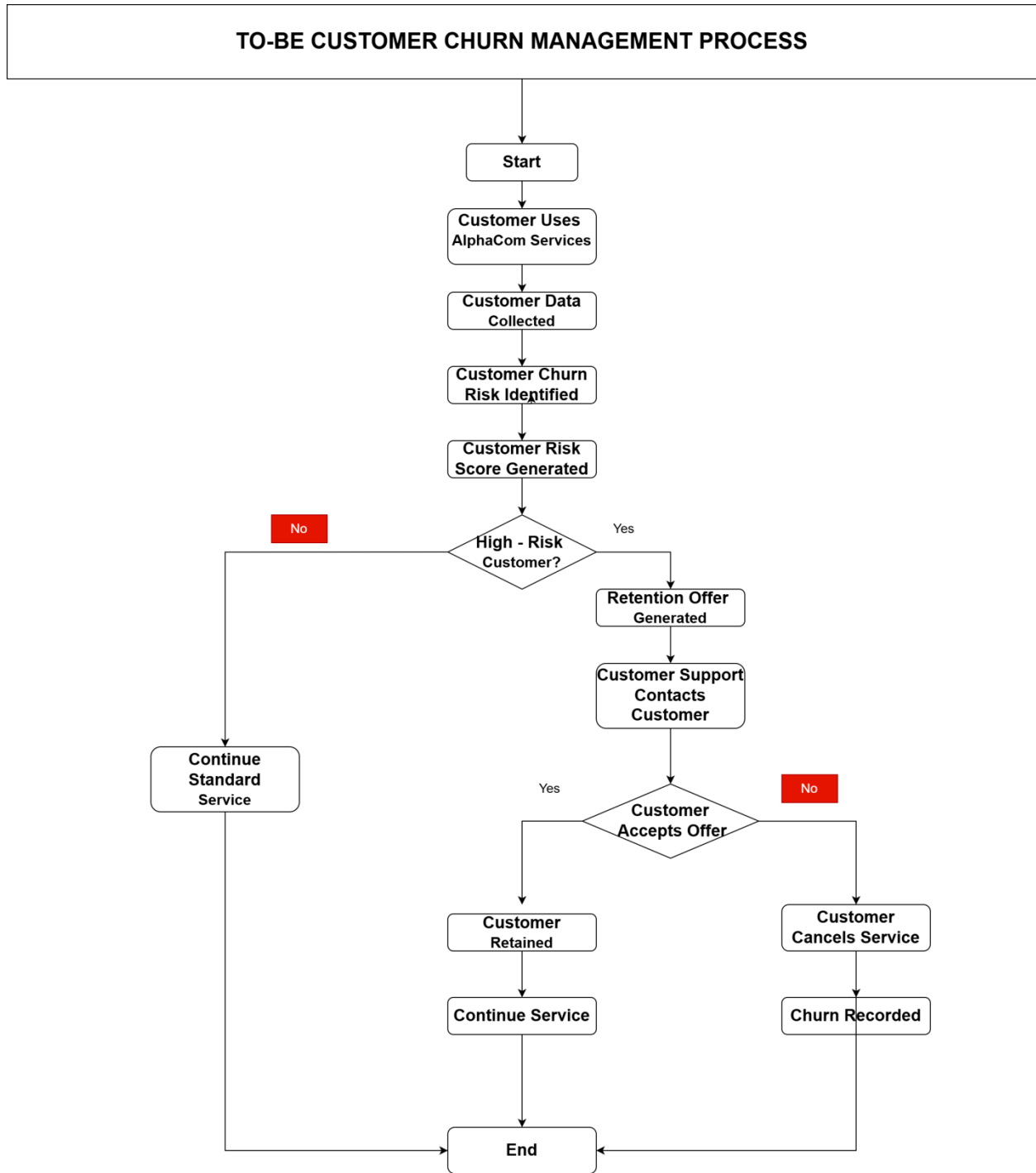


Figure 3: To - Be Customer Churn Management Process

10. Requirements

10.1 Business Requirements

Requirement ID	Business Requirement	Business Value
BR-01	Identify high-risk customers.	Enables proactive customer retention.
BR-02	Generate customer churn risk scores.	Supports data-driven decision-making.
BR-03	Notify the Customer Retention Team of high-risk customers.	Enables timely intervention.
BR-04	Recommend personalized retention offers.	Improves customer engagement and retention.
BR-05	Monitor customer churn through interactive dashboards.	Improves business visibility.
BR-06	Measure retention campaign effectiveness.	Supports continuous business improvement.

10.2 Functional Requirements

Requirement ID	Functional Requirement	Priority
FR-01	Capture customer information for churn analysis.	High
FR-02	Calculate customer churn risk scores.	High
FR-03	Classify customers as High, Medium, or Low risk.	High
FR-04	Display high-risk customers on business dashboards.	High
FR-05	Notify the Customer Retention Team.	Medium
FR-06	Recommend personalized retention offers.	Medium
FR-07	Record customer responses to retention activities.	Medium
FR-08	Generate dashboards and business reports.	High

10.3 Non-Functional Requirements

Requirement ID	Non-Functional Requirement	Category
NFR-01	Restrict dashboard access to authorized users.	Security
NFR-02	Dashboard pages shall load within five seconds.	Performance
NFR-03	Store customer information securely.	Security
NFR-04	Provide accurate and reliable business insights.	Reliability
NFR-05	Support future scalability and enhancements.	Scalability

11. Agile Delivery Management

Approved business requirements were translated into Agile work items and managed in Jira using an Epic, Product Backlog, User Stories, and Acceptance Criteria.

11.1 Product Backlog

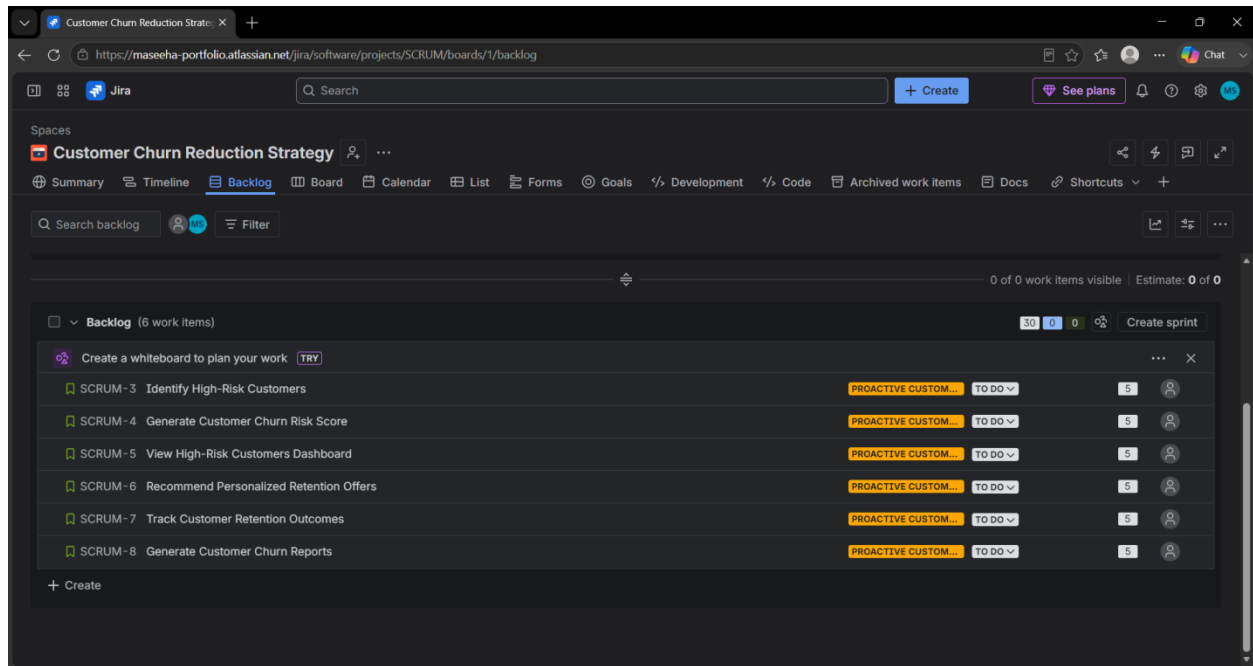


Figure 4: Jira Product Backlog containing the Epic and prioritized User Stories for the Customer Churn Reduction Strategy project.

11.2 Sample User Story

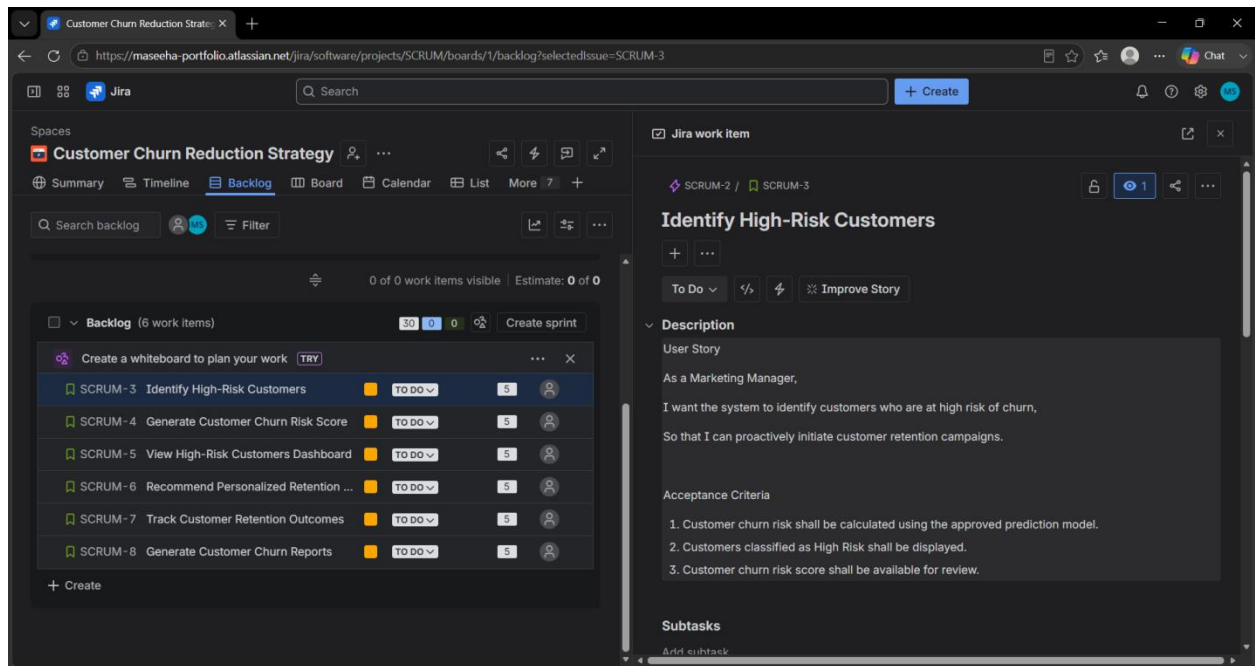


Figure 5: Jira User Story with Acceptance Criteria

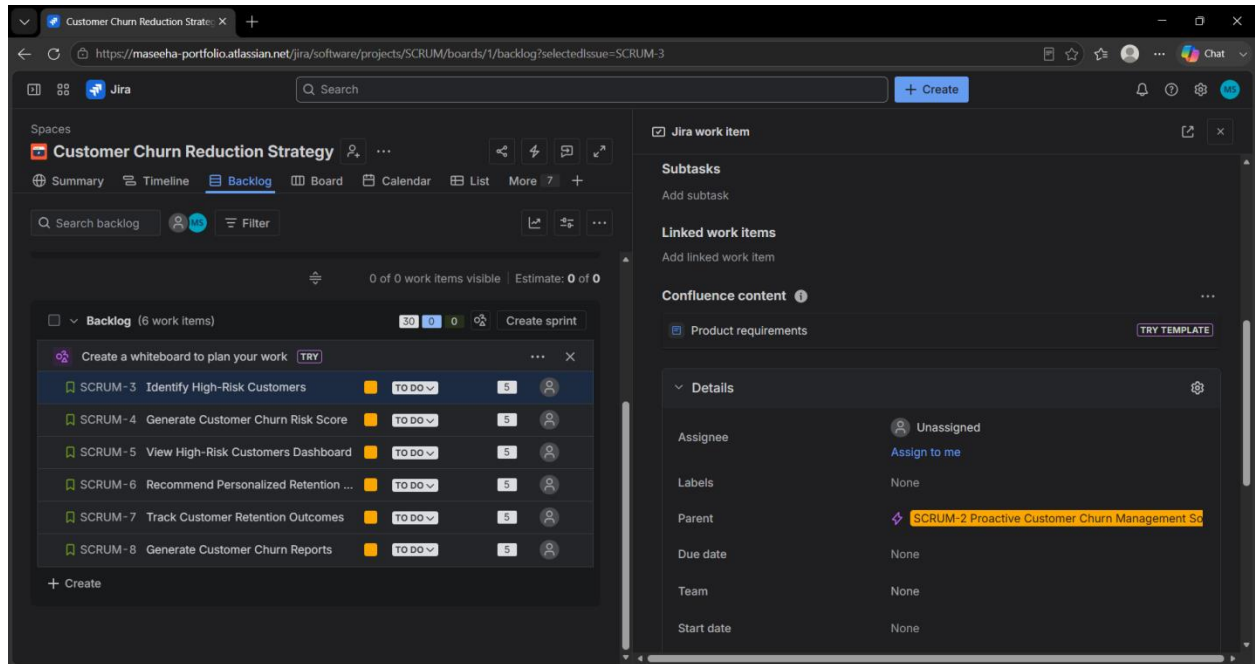


Figure 6: Jira User Story with Acceptance Criteria

11.3 Product Backlog Summary

User Story ID	User Story	Priority	Story Points
US-01	Identify High-Risk Customers	High	5
US-02	Generate Customer Churn Risk Score	High	5
US-03	View High-Risk Customers Dashboard	High	5
US-04	Recommend Personalized Retention Offers	Medium	5
US-05	Track Customer Retention Outcomes	Medium	5
US-06	Generate Customer Churn Reports	Low	5

12. Requirements Traceability Matrix (RTM)

Figure 7: Requirements Traceability Matrix (RTM)

Requirement ID	Business Requirement	Functional Requirement ID	Functional Requirement	User Story ID	User Story	Test Scenario	Priority	Status
BR-01	Identify customers who are at high risk of churn.	FR-03	Classify customers as High, Medium, or Low risk.	US-01	Identify High-Risk Customers	Verify customers are correctly classified based on churn risk.	High	Complete
BR-02	Generate a churn risk score for each customer.	FR-02	Calculate a churn risk score for each customer.	US-02	Generate Customer Churn Risk Score	Verify a churn risk score is generated for every customer.	High	Complete
BR-03	Notify the Customer Retention Team about high-risk customers.	FR-04, FR-05	Display high-risk customers on the dashboard and notify the Customer Retention Team.	US-03	View High-Risk Customers Dashboard	Verify high-risk customers are displayed on the dashboard and notifications are generated.	High	Complete
BR-04	Recommend personalized retention offers.	FR-06	Recommend personalized retention offers for high-risk customers.	US-04	Recommend Personalized Retention Offers	Verify personalized retention offers are generated for eligible customers.	Medium	Complete
BR-05	Measure the effectiveness of customer retention initiatives.	FR-07	Record customer responses to retention activities.	US-05	Track Customer Retention Outcomes	Verify customer responses and retention outcomes are recorded successfully.	Medium	Complete
BR-06	Monitor customer churn trends through dashboards and reports.	FR-08	Generate dashboards and business reports.	US-06	Generate Customer Churn Reports	Verify churn dashboards and reports are generated successfully.	Low	Complete

Note: The complete RTM is maintained as a separate Microsoft Excel document.

13. User Acceptance Testing (UAT)

User Acceptance Testing (UAT) scenarios were prepared to validate that the proposed solution satisfies the approved business requirements. UAT execution is outside the scope of this portfolio project.

Figure 8: Sample UAT Test Cases

Test Case ID	Business Requirement ID	Test Scenario	Expected Result	Priority
UAT-01	BR-01	Verify high-risk customers are identified correctly.	High-risk customers are displayed accurately.	High
UAT-02	BR-02	Verify churn risk score is generated.	Risk score is calculated successfully.	High
UAT-03	BR-03	Verify retention dashboard displays high-risk customers.	Dashboard displays high-risk customers.	High
UAT-04	BR-04	Verify personalized retention recommendations are generated.	Appropriate recommendations are displayed.	Medium
UAT-05	BR-05	Verify churn reports are available.	Reports are generated successfully.	Medium

14. Dashboard Requirements

The Tableau dashboards were designed to provide business stakeholders with actionable insights into customer churn, customer segmentation, and retention performance. The dashboards support data-driven decision-making through interactive visualizations, KPIs, and business filters.

14.1 Dashboard Objectives

ID	Objective
DO-01	Monitor customer churn trends.
DO-02	Identify high-risk customers.
DO-03	Analyze key churn drivers.
DO-04	Support customer retention decisions.
DO-05	Track business performance using KPIs.

14.2 Key Performance Indicators (KPIs)

KPI	Business Purpose
Total Customers	Measure customer base size.
Churn Rate	Measure customer attrition.
Retention Rate	Measure customer retention performance.
High-Risk Customers	Identify customers requiring immediate attention.

14.3 Dashboard Filters

Filter	Purpose
Churn Status	Analyze retained and churned customers.
Contract Type	Compare churn across contract types.
Payment Method	Analyze payment behavior.
Internet Service	Compare churn across service types.
Gender	Analyze churn by gender.
Tenure Group	Compare churn across customer lifecycle stages.

14.4 Intended Users

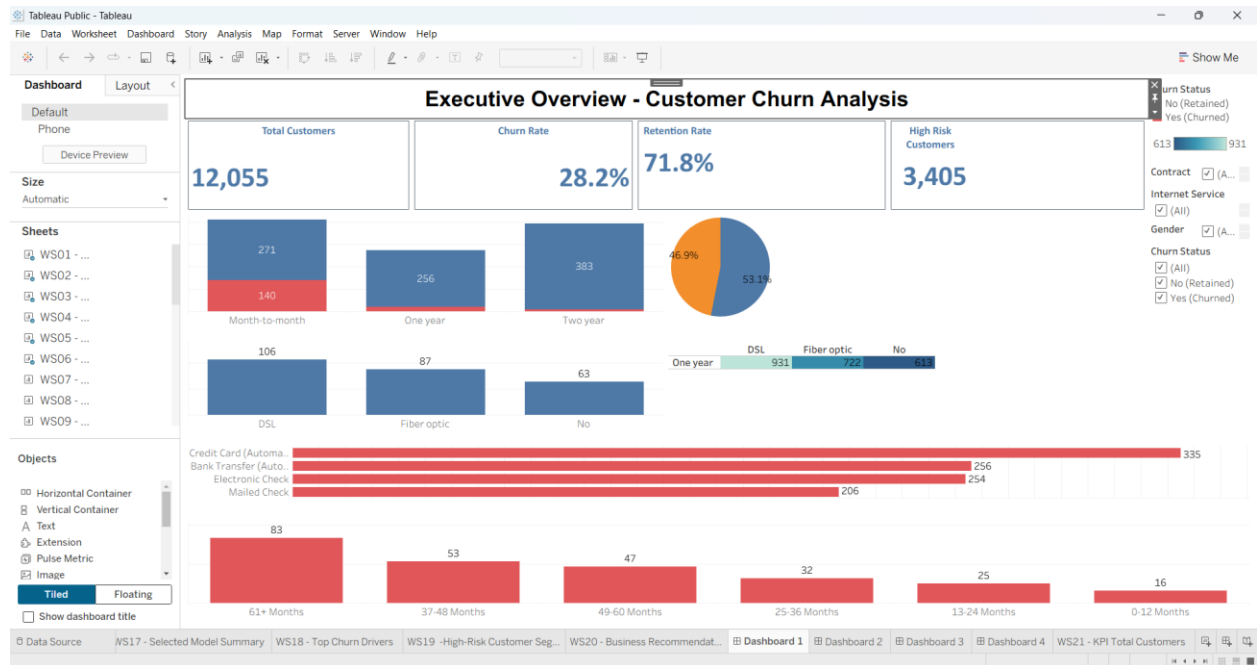
User	Purpose
CEO	Monitor overall churn performance.
Marketing Manager	Plan customer retention campaigns.
Customer Service Manager	Identify high-risk customers.
Sales Manager	Support customer retention initiatives.
Operations Manager	Monitor operational performance.

14.5 Dashboard Overview

The proposed solution includes four interactive Tableau dashboards that provide business stakeholders with actionable insights into customer churn, customer segmentation, retention opportunities, and business recommendations.

Dashboard 1 – Executive Overview

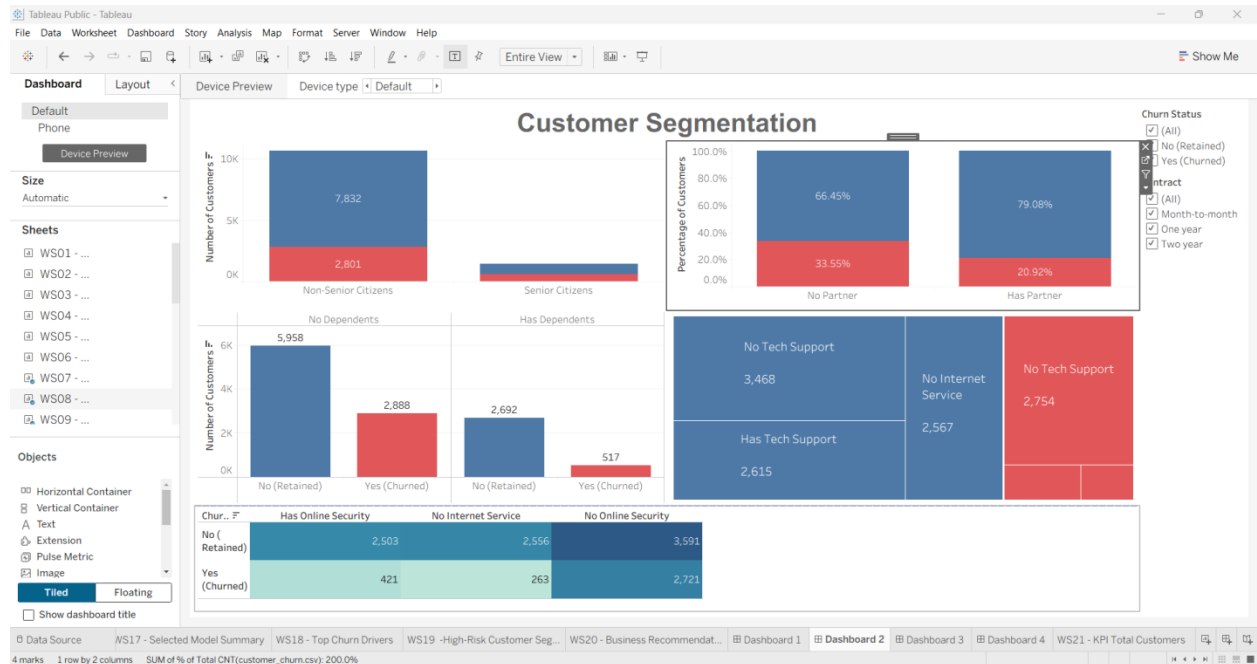
Figure 9: Executive Overview Dashboard



Provides an executive summary of customer churn performance using KPIs, churn distribution, customer segmentation, and key business metrics for strategic decision-making.

Dashboard 2 – Customer Churn Analysis

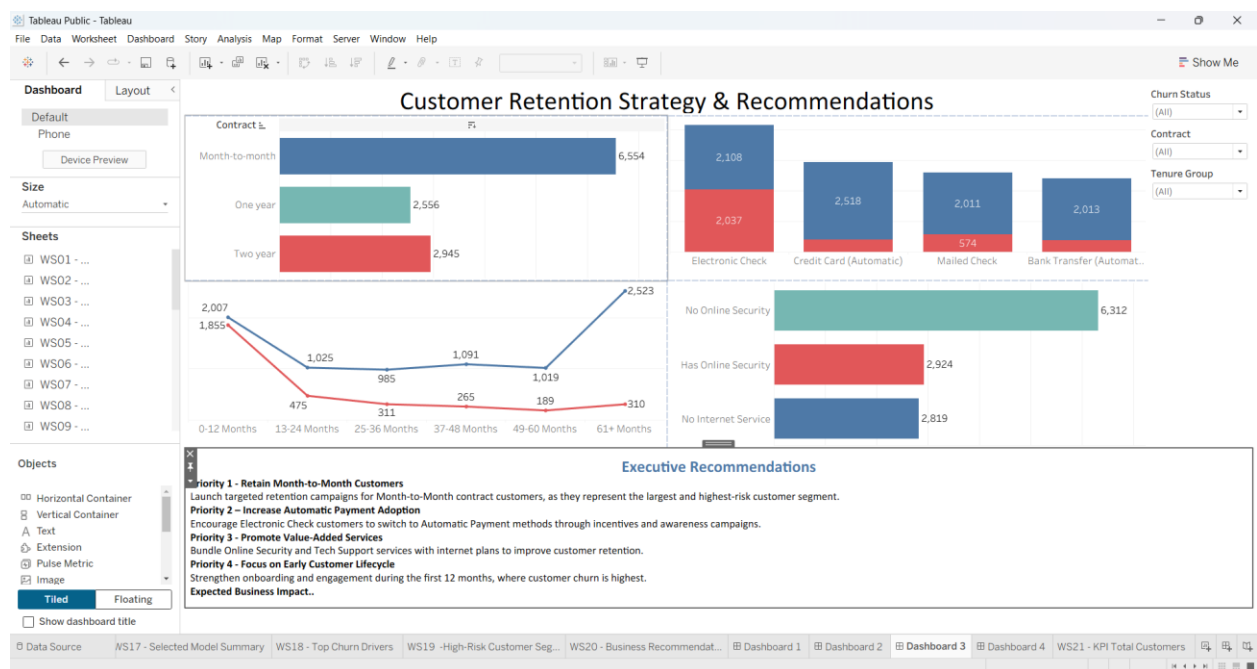
Figure 10: Customer Churn Analysis Dashboard



Enables stakeholders to analyze customer churn across contract type, payment method, internet service, tenure, and other business dimensions.

Dashboard 3 – Business Recommendations & Customer Retention

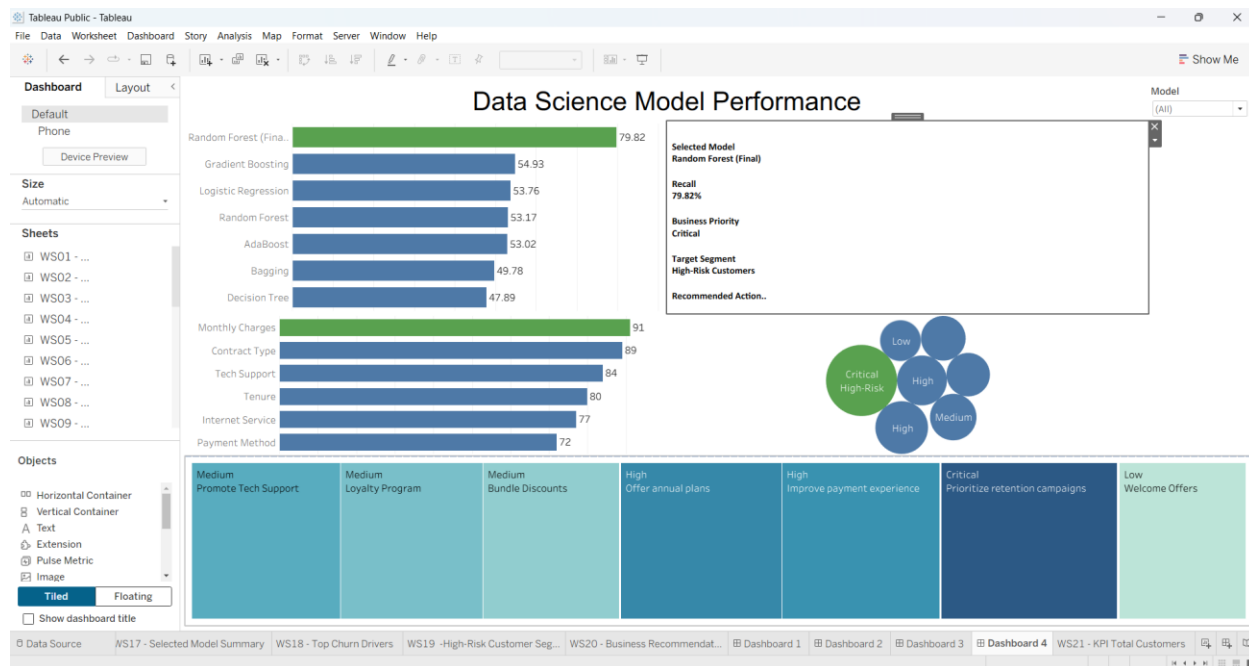
Figure 11: Business Recommendations & Customer Retention Dashboard



Highlights major churn drivers and presents prioritized business recommendations to support proactive customer retention initiatives.

Dashboard 4 – Model Performance & High-Risk Customer Insights

Figure 12: Model Performance & High-Risk Customer Insights Dashboard



Summarizes the selected predictive model, identifies high-risk customer segments, and recommends business actions based on analytical findings.

15. Business Recommendations

The following recommendations are based on the business analysis findings and are intended to improve customer retention, reduce churn, and support data-driven business decisions.

15.1 Business Recommendations

Recommendation	Business Rationale	Expected Benefit
Prioritize proactive retention campaigns for high-risk customers.	Early identification of high-risk customers enables timely intervention before service cancellation.	Reduce customer churn and improve retention.
Encourage customers to migrate from Month-to-Month to long-term contracts.	Month-to-Month customers represent the highest churn segment.	Increase customer commitment and reduce churn.
Promote AutoPay payment	Customers using Electronic Check	Improve payment stability

methods through targeted incentives.	exhibit higher churn rates than AutoPay users.	and reduce churn.
Bundle Online Security and Tech Support services with internet plans.	Customers without value-added services are more likely to churn.	Improve customer loyalty and increase retention.
Monitor churn trends using interactive Tableau dashboards.	Continuous monitoring enables faster identification of business issues.	Support data-driven decision-making and proactive business actions.

16. Expected Business Impact

Business KPI	Current	Target
Customer Churn Rate	28.2%	Below 25%
Customer Retention Rate	71.8%	Above 75%
High-Risk Customer Identification	Reactive	Proactive
Customer Retention Campaigns	Manual	Data-Driven
Business Decision-Making	Limited Insights	Interactive Dashboards

17. Business Risks

Risk	Impact	Mitigation
Poor data quality	High	Perform data validation and cleansing.
Changing business requirements	Medium	Follow change management and stakeholder reviews.
Stakeholder availability	Medium	Schedule regular requirement review sessions.

18. Conclusion

The Customer Churn Reduction Strategy project applied Business Analysis practices to understand the current retention process, identify the primary drivers of customer churn, and define a future-state solution. The project produced business requirements, process models, Agile artifacts, validation documents, and interactive Tableau dashboards that support proactive customer retention and informed business decision-making.